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Lesson 19 – Types of Strategies (Summarized Notes)

Types of Strategies

Strategies are long-term plans used to achieve organizational goals and gain competitive advantage. Major strategies include integration strategies and Michael Porter's generic strategies.

Horizontal Integration

Horizontal integration means gaining ownership or control over competitors in the same industry through mergers, acquisitions, or takeovers. It helps increase market share, business size, economies of scale, and resource sharing.

When Horizontal Integration is Effective

- When the firm can increase market power without legal issues.
- When the industry is growing.
- When economies of scale provide competitive advantage.
- When the firm has enough capital and skilled management.
- When competitors are weak because of poor management or lack of resources.

Michael Porter's Generic Strategies

Cost Leadership Strategy

Cost leadership focuses on producing standardized products at the lowest possible cost. It targets price-sensitive customers and aims to increase sales through lower prices.

Requirements for Cost Leadership

- High production efficiency.
- Strong cost control.
- Process engineering skills.
- Easy-to-manufacture products.
- Access to low-cost capital and raw materials.
- Large market share.
- Efficient distribution system.

Advantages of Cost Leadership

- Lower production costs.
- Higher market share.
- Competitive pricing.
- Better profitability through efficiency.

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Risks of Cost Leadership

Competitors may copy the strategy.
Technology changes may reduce its effectiveness.
Customers may prefer quality or unique features instead of low prices.

Differentiation Strategy

Differentiation means offering unique products or services that customers perceive as different and valuable. Customers become more loyal and are willing to pay higher prices.

Requirements for Differentiation

Strong research and development.
Product engineering skills.
Creativity and innovation.
Strong marketing.
Good relationship with distributors.
Continuous product improvement.

Benefits of Differentiation

Higher selling prices.
Strong brand loyalty.
Reduced price competition.
Greater customer satisfaction.

Focus Strategy

Focus strategy targets a small or specific market segment instead of the whole market. It is also called a niche strategy and is commonly used by small firms.

Conditions for Focus Strategy

Target market should be large enough.
Market should have growth potential.
Customers should have special needs.
Competitors should not focus on the same segment.

Cost Focus Strategy

Cost focus aims to provide low-cost products to a specific market segment while meeting the needs of that niche.

Differentiation Focus Strategy

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Differentiation focus offers unique products to a specific group of customers with special needs and preferences.

Important Exam Points

Horizontal Integration means acquiring or controlling competitors in the same industry.

Main benefits of Horizontal Integration are increased market share, economies of scale, and resource sharing.

Michael Porter proposed **three generic strategies**: Cost Leadership, Differentiation, and Focus.

Cost Leadership aims to become the **lowest-cost producer** in the industry.

Cost Leadership is most effective when customers are **price-sensitive** and products are similar.

Differentiation creates **unique products or services**, allowing firms to charge premium prices.

Successful Differentiation requires **innovation, creativity, strong R&D, and marketing**.

Focus Strategy targets a **specific niche or market segment** instead of the whole market.

Cost Focus provides **low-cost products** to a selected market segment.

Differentiation Focus provides **unique products** to a selected niche market.

Lesson 19 – Types of Strategies

5 Very Important MCQs (Exam Preparation)

1. Which strategy involves gaining ownership or increased control over competitors in the same industry?

- A) Forward Integration
- B) Horizontal Integration ✓**
- C) Backward Integration
- D) Market Penetration

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2. According to Michael Porter, which strategy focuses on producing standardized products at the lowest possible cost?

- A) Cost Leadership ✓**
 - B) Differentiation
 - C) Focus
 - D) Diversification
-

3. Which of Michael Porter's generic strategies aims to offer unique products or services that customers perceive as different from competitors?

- A) Cost Leadership
 - B) Differentiation ✓**
 - C) Focus
 - D) Horizontal Integration
-

4. A company targeting only a small, specific market segment is following which strategy?

- A) Cost Leadership
 - B) Horizontal Integration
 - C) Focus Strategy ✓**
 - D) Conglomerate Diversification
-

5. Which of the following is NOT a generic strategy proposed by Michael Porter?

- A) Cost Leadership
- B) Differentiation
- C) Focus
- D) Horizontal Integration ✓**

Lesson 20 – Types of Strategies (Summarized Notes)

Intensive Strategies

Intensive strategies focus on improving a firm's competitive position using existing products. The three main intensive strategies are Market Penetration, Market Development, and Product Development.

Market Penetration

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Market penetration aims to increase the market share of existing products in existing markets through stronger marketing efforts such as advertising, promotions, publicity, and increasing the sales force.

Types of Market Penetration

Rapid Market Penetration involves lowering prices and increasing promotional activities.

Slow Market Penetration involves lowering prices while keeping promotional activities unchanged.

When Market Penetration is Effective

Current market is not saturated.

Existing customers can increase product usage.

Competitors' market share is declining while industry sales are increasing.

Economies of scale provide competitive advantages.

Market Development

Market development means introducing existing products or services into new geographic markets or new customer segments to increase sales.

When Market Development is Effective

Reliable and low-cost distribution channels are available.

The firm is already successful in its current market.

Untapped or unsaturated markets exist.

The firm has sufficient capital and skilled employees.

The firm has excess production capacity.

The industry is becoming global.

Product Development

Product development focuses on increasing sales by improving, modifying, or introducing new features in existing products. It usually requires significant investment in research and development (R&D).

When Product Development is Effective

Products are in the maturity stage of the product life cycle.

The industry experiences rapid technological changes.

Competitors offer better-quality products at similar prices.

The firm operates in a high-growth industry.

The firm has strong research and development capabilities.

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Important Exam Points

Intensive strategies include **Market Penetration, Market Development, and Product Development.**

Market Penetration = Existing products + Existing markets.

Market Development = Existing products + New markets.

Product Development = Improved or modified products + Existing markets.

Rapid Market Penetration uses **low prices and high promotion.**

Slow Market Penetration uses **low prices with little or no increase in promotion.**

Market Development is suitable when **new markets and distribution channels are available.**

Product Development requires **strong R&D capabilities** and is effective when products are in the **maturity stage** or technology changes rapidly.

Lesson 20 – Intensive Strategies

5 Very Important MCQs (Exam Preparation)

1. Which intensive strategy aims to increase the market share of existing products in existing markets?

- A) **Market Penetration** ✓
- B) Market Development
- C) Product Development
- D) Diversification

2. Which strategy involves introducing existing products or services into new geographic markets?

- A) Market Penetration
- B) **Market Development** ✓
- C) Product Development
- D) Horizontal Integration

3. Product development primarily focuses on:

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- A) Entering new markets
 - B) Acquiring competitors
 - C) Improving or modifying existing products ✓**
 - D) Reducing production costs
-

4. Rapid market penetration is based on which combination?

- A) Lower prices and increased promotional activities ✓**
 - B) Higher prices and increased promotion
 - C) Lower prices with no promotion
 - D) Higher prices with reduced promotion
-

5. Which of the following is most important for the successful implementation of a Product Development strategy?

- A) Excess production capacity
- B) Large market share
- C) Strong research and development (R&D) capabilities ✓**
- D) Declining industry sales

Lesson 21 – Types of Strategies (Summarized Notes)

Diversification Strategies

Diversification strategies involve expanding a firm's business by adding new products or services. The three main types are Concentric Diversification, Horizontal Diversification, and Conglomerate Diversification.

Concentric Diversification

Concentric diversification means adding **new but related products or services**. It helps firms increase sales by using existing technology, skills, or markets.

When Concentric Diversification is Effective

The firm operates in a no-growth or slow-growth industry.
Related products can increase sales of existing products.
New products can compete successfully.
Current products are in the decline stage of the product life cycle.
The firm has a strong management team.

Conglomerate Diversification

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Conglomerate diversification means adding **new and unrelated products or services**. It allows firms to enter completely different industries and reduce dependence on one business.

When Conglomerate Diversification is Effective

Annual sales and profits are declining.
The firm has enough capital and managerial talent.
Financial synergy exists between acquiring and acquired firms.
Current markets are saturated.

Horizontal Diversification

Horizontal diversification means adding **new unrelated products for existing customers**. It is less risky because the firm already understands its customer base.

When Horizontal Diversification is Effective

New products can significantly increase revenue.
The industry is highly competitive or has low growth.
Existing distribution channels can sell the new products.
New products have different sales cycles than existing products.

Defensive Strategies

Retrenchment

Retrenchment is a defensive strategy used to reduce costs and assets to improve declining sales and profits. It is also called a **turnaround** or **reorganization** strategy.

Retrenchment Activities

Reducing operating costs.
Selling unnecessary assets.
Closing unprofitable businesses or factories.
Reducing employees.
Improving efficiency and expense control.

When Retrenchment is Effective

The firm consistently fails to achieve its objectives.
The firm is one of the weaker competitors.
Profitability and employee morale are low.
Managers have failed to improve performance.
The organization has grown too quickly and needs internal reorganization.

Important Exam Points

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Diversification strategies include **Concentric, Conglomerate, and Horizontal Diversification**.

Concentric Diversification = New **related** products or services.

Conglomerate Diversification = New **unrelated** products or services.

Horizontal Diversification = New **unrelated products for existing customers**.

Retrenchment is a **defensive strategy** used to reduce costs and reverse declining sales and profits.

Retrenchment is also known as a **Turnaround** or **Reorganization Strategy**.

Concentric Diversification is suitable when **current products are declining** and the firm has a **strong management team**.

Conglomerate Diversification is appropriate when **current markets are saturated** and the firm has **sufficient capital and managerial talent**.

Horizontal Diversification is less risky because the firm already has **existing customers and distribution channels**.

Lesson 21 – Diversification & Defensive Strategies

5 Very Important MCQs (Exam Preparation)

1. Which diversification strategy involves adding new but related products or services?

- A) **Concentric Diversification** ✓
- B) Horizontal Diversification
- C) Conglomerate Diversification
- D) Retrenchment

2. Which diversification strategy involves adding new and unrelated products or services?

- A) Concentric Diversification
 - B) Horizontal Diversification
 - C) **Conglomerate Diversification** ✓
 - D) Market Development
-

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3. Horizontal diversification refers to:

- A) Adding related products for new customers
 - B) Adding unrelated products for existing customers ✓**
 - C) Adding related products for existing customers
 - D) Acquiring competitors
-

4. Which defensive strategy is used to reduce costs and assets to reverse declining sales and profits?

- A) Divestiture
 - B) Liquidation
 - C) Retrenchment ✓**
 - D) Product Development
-

5. Retrenchment strategy is also known as the:

- A) Growth Strategy
 - B) Focus Strategy
 - C) Turnaround or Reorganization Strategy ✓**
 - D) Market Penetration Strategy
-

Lesson 22 – Types of Strategies (Summarized Notes)

Defensive Strategies

Defensive strategies help organizations overcome poor performance, reduce losses, and improve their financial position. The main defensive strategies are **Divestiture** and **Liquidation**.

Divestiture

Divestiture means selling a division or part of an organization. It is used to raise capital, improve performance, or remove unprofitable businesses that do not fit the company's objectives.

When Divestiture is Effective

Retrenchment has failed to improve performance.
A division requires more resources than the firm can provide.
A division is responsible for poor organizational performance.
A division does not fit the firm's overall strategy.
The firm needs a large amount of cash.

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Liquidation

Liquidation means selling all of a company's assets for their tangible value. It is considered the final option when a business cannot continue operating profitably.

When Liquidation is Effective

Retrenchment and divestiture have both failed.
Bankruptcy is the only other alternative.
Selling assets minimizes shareholders' losses.

Joint Venture

Joint Venture

A joint venture is a temporary partnership between two or more companies formed to achieve a common business objective. The companies share ownership, resources, risks, and profits.

Cooperative Arrangements

Research and development partnerships.
Cross-distribution agreements.
Cross-licensing agreements.
Cross-manufacturing agreements.
Joint-bidding consortia.

Advantages of Joint Venture

Shares costs and risks.
Combines resources and expertise.
Provides access to new markets and technology.
Improves communication and networking.
Helps firms compete globally.

When Joint Venture is Effective

Private and public firms can combine their strengths.
A domestic firm partners with a foreign company.
The firms have complementary strengths.
The project requires large resources and involves high risk.
Small firms need to compete with larger firms.
A new technology must be introduced quickly.

Important Exam Points

Divestiture = Selling a division or part of a company.

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Liquidation = Selling all company assets and closing the business.

Divestiture is used to **raise capital** and eliminate **unprofitable divisions**.

Liquidation is the **last defensive strategy** when retrenchment and divestiture fail.

A **Joint Venture** is a **temporary partnership** between two or more companies.

Joint ventures allow firms to **share risks, resources, technology, and profits**.

Common cooperative arrangements include **R&D partnerships, cross-distribution, cross-licensing, cross-manufacturing, and joint-bidding consortia**.

Joint ventures are most effective when **firms have complementary strengths** or need to **introduce new technology quickly**.

Lesson 22 – Defensive Strategies & Joint Ventures

5 Very Important MCQs (Exam Preparation)

1. Divestiture refers to:

- A) **Selling a division or part of an organization** ✓
- B) Selling all company assets
- C) Acquiring a competitor
- D) Introducing a new product

2. Which defensive strategy involves selling all of a company's assets for their tangible worth?

- A) Retrenchment
- B) Divestiture
- C) **Liquidation** ✓
- D) Horizontal Integration

3. A Joint Venture is best defined as:

- A) A permanent merger of two companies
- B) **A temporary partnership between two or more companies for a specific opportunity** ✓
- C) Selling a business division
- D) Expanding into a new market alone

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4. Which of the following is a cooperative arrangement used in Joint Ventures?

- A) Market Penetration
- B) Cost Leadership
- C) **Research and Development (R&D) Partnership** ✓
- D) Retrenchment

5. Which strategy is considered the final option when retrenchment and divestiture have both failed?

- A) Market Development
- B) Concentric Diversification
- C) Horizontal Diversification
- D) **Liquidation** ✓

Lesson 23 – Strategy-Formulation Framework (Summarized Notes)

Strategy-Formulation Framework

The strategy-formulation framework is a systematic process used to identify, evaluate, and select the best strategies for an organization. It combines objective information with managerial judgment.

Purpose of the Framework

It helps managers generate strategic alternatives.
It evaluates different strategies objectively.
It supports effective strategic decision-making.

Stage 1 – Input Stage

The Input Stage collects and summarizes important internal and external information required for strategy formulation.

Tools Used in Stage 1

External Factor Evaluation (EFE) Matrix measures external opportunities and threats.

Internal Factor Evaluation (IFE) Matrix measures internal strengths and weaknesses.

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Competitive Profile Matrix (CPM) compares the organization with its major competitors.

Stage 2 – Matching Stage

The Matching Stage develops feasible strategies by matching internal strengths and weaknesses with external opportunities and threats.

Tools Used in Stage 2

TOWS Matrix matches threats, opportunities, weaknesses, and strengths.

SPACE Matrix evaluates the organization's strategic position and appropriate actions.

BCG Matrix analyzes business units based on market growth and market share.

IE Matrix combines internal and external analysis to suggest strategies.

Grand Strategy Matrix (GS Matrix) helps choose strategies based on competitive position and market growth.

Stage 3 – Decision Stage

The Decision Stage selects the most appropriate strategy from the available alternatives.

Tool Used in Stage 3

Quantitative Strategic Planning Matrix (QSPM) objectively evaluates alternative strategies and identifies the most attractive option.

Role of Strategy Formulation

Strategy formulation requires both **analysis and managerial intuition**.

Managers are responsible for final strategic decisions, not the analytical tools.

Analytical tools support decision-making but should not replace communication, discussion, or professional judgment.

Objective information reduces the effects of personal bias, politics, emotions, and assumptions.

Important Exam Points

The **Strategy-Formulation Framework** consists of **three stages**.

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Stage 1 (Input Stage) = EFE Matrix, IFE Matrix, Competitive Profile Matrix (CPM).

Stage 2 (Matching Stage) = TOWS Matrix, SPACE Matrix, BCG Matrix, IE Matrix, Grand Strategy Matrix.

Stage 3 (Decision Stage) = Quantitative Strategic Planning Matrix (QSPM).

EFE Matrix analyzes external opportunities and threats.

IFE Matrix analyzes internal strengths and weaknesses.

CPM compares a firm with its competitors.

QSPM is used to select the **best strategic alternative** objectively.

Successful strategy formulation requires a combination of **objective analysis and managerial intuition**.

Lesson 23 – Strategy-Formulation Framework

5 Very Important MCQs (Exam Preparation)

1. Which stage of the Strategy-Formulation Framework is known as the Input Stage?

- A) Stage 1 ✓
- B) Stage 2
- C) Stage 3
- D) Final Stage

2. Which matrix is used in the Decision Stage to objectively evaluate alternative strategies?

- A) BCG Matrix
- B) IE Matrix
- C) SPACE Matrix
- D) Quantitative Strategic Planning Matrix (QSPM) ✓

3. Which of the following is NOT a tool used in the Matching Stage?

- A) TOWS Matrix
- B) SPACE Matrix

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- C) **Competitive Profile Matrix (CPM)** ✓
D) BCG Matrix
-

4. The Internal Factor Evaluation (IFE) Matrix is used to analyze:

- A) External opportunities and threats
B) **Internal strengths and weaknesses** ✓
C) Market growth and market share
D) Competitors' performance only
-

5. Which matrix compares an organization with its major competitors?

- A) EFE Matrix
B) QSPM
C) **Competitive Profile Matrix (CPM)** ✓
D) Grand Strategy Matrix

Lesson 24 – Threats-Opportunities-Weaknesses-Strengths (TOWS) Matrix (Summarized Notes)

TOWS Matrix

The TOWS Matrix, also known as **SWOT Analysis**, is a strategic planning tool used to evaluate an organization's **Strengths, Weaknesses, Opportunities, and Threats**. It helps managers develop effective strategies by matching internal and external factors.

Internal and External Factors

Strengths are internal factors that help achieve organizational objectives.

Weaknesses are internal factors that reduce organizational performance.

Opportunities are external factors that can help the organization grow.

Threats are external factors that may negatively affect the organization.

SO (Strength–Opportunity) Strategies

SO strategies use the organization's strengths to take advantage of external opportunities. These are considered the most desirable strategies for growth.

WO (Weakness–Opportunity) Strategies

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WO strategies aim to overcome internal weaknesses by utilizing external opportunities.

ST (Strength–Threat) Strategies

ST strategies use organizational strengths to reduce or avoid external threats.

WT (Weakness–Threat) Strategies

WT strategies focus on minimizing weaknesses and avoiding external threats. These are defensive strategies used when the organization faces both internal and external challenges.

Steps to Develop a TOWS Matrix

Identify and rank external opportunities.

Identify and rank external threats.

Identify and rank internal strengths.

Identify and rank internal weaknesses.

Match strengths with opportunities to develop **SO strategies**.

Match weaknesses with opportunities to develop **WO strategies**.

Match strengths with threats to develop **ST strategies**.

Match weaknesses with threats to develop **WT strategies**.

Importance of TOWS Matrix

Helps formulate strategic alternatives.

Matches internal and external factors.

Supports strategic planning and decision-making.

Identifies organizational strengths and weaknesses.

Highlights external opportunities and threats.

Important Exam Points

TOWS Matrix is also known as **SWOT Analysis**.

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Strengths and Weaknesses are **internal factors**.

Opportunities and Threats are **external factors**.

SO Strategy = Use strengths to take advantage of opportunities.

WO Strategy = Overcome weaknesses by using opportunities.

ST Strategy = Use strengths to avoid or reduce threats.

WT Strategy = Minimize weaknesses and avoid threats.

The **TOWS Matrix** develops **four types of strategies**: SO, WO, ST, and WT.

There are **eight steps** involved in constructing a TOWS Matrix.

Lesson 24 – TOWS (SWOT) Matrix

5 Very Important MCQs (Exam Preparation)

1. The TOWS Matrix is also known as:

- A) BCG Matrix
- B) IE Matrix
- C) **SWOT Analysis** ✓
- D) SPACE Matrix

2. Which of the following are internal factors in the TOWS Matrix?

- A) **Strengths and Weaknesses** ✓
- B) Opportunities and Threats
- C) Strengths and Opportunities
- D) Weaknesses and Threats

3. SO strategies are developed by:

- A) **Using strengths to take advantage of opportunities** ✓
- B) Minimizing weaknesses and avoiding threats
- C) Using strengths to avoid threats
- D) Overcoming weaknesses by using opportunities

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4. Which strategy focuses on overcoming weaknesses by taking advantage of external opportunities?

- A) SO Strategy
- B) WO Strategy ✓**
- C) ST Strategy
- D) WT Strategy

5. How many steps are involved in constructing a TOWS Matrix?

- A) Four
- B) Six
- C) Seven
- D) Eight ✓**

Lesson 25 – Strategic Position and Action Evaluation (SPACE) Matrix (Summarized Notes)

SPACE Matrix

The **Strategic Position and Action Evaluation (SPACE) Matrix** is a Stage 2 matching tool used in the strategy-formulation framework. It helps determine an organization's strategic position and recommends the most suitable strategy.

Purpose of SPACE Matrix

It evaluates the organization's internal and external position.
It helps managers choose the most appropriate strategic direction.
It is represented graphically using four quadrants.

Four Strategic Positions

Aggressive Strategy is recommended when the firm has strong financial and industry strength.

Conservative Strategy is suitable when the firm should focus on improving internal capabilities while maintaining stability.

Competitive Strategy is adopted when the firm has competitive advantages but faces external challenges.

Defensive Strategy is recommended when the firm has weak internal and external positions.

Internal Dimensions

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Financial Strength (FS) measures the firm's financial position, liquidity, cash flow, return on investment, and working capital.

Competitive Advantage (CA) measures market share, customer loyalty, product quality, technology, and resource utilization.

External Dimensions

Environmental Stability (ES) measures technological changes, inflation, political conditions, competition, and market uncertainty.

Industry Strength (IS) measures industry growth, profit potential, demand, technological know-how, and ease of market entry.

Rating System

Financial Strength (FS) and **Industry Strength (IS)** are rated from +1 (worst) to +6 (best).

Competitive Advantage (CA) and **Environmental Stability (ES)** are rated from -1 (best) to -6 (worst).

Steps to Prepare the SPACE Matrix

Select variables for FS, CA, ES, and IS.

Assign ratings to each variable.

Calculate the average score for each dimension.

Plot the average scores on the SPACE Matrix.

Determine the final X and Y coordinates.

Draw a directional vector from the origin to identify the recommended strategy.

Important Exam Points

The **SPACE Matrix** is a **Stage 2 Matching Tool** of the strategy-formulation framework.

The SPACE Matrix has **four quadrants: Aggressive, Conservative, Competitive, and Defensive**.

Internal Dimensions = Financial Strength (FS) and Competitive Advantage (CA).

External Dimensions = Environmental Stability (ES) and Industry Strength (IS).

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FS and IS are rated from **+1 to +6**.

CA and ES are rated from **-1 to -6**.

The SPACE Matrix is used to determine the organization's **strategic position** and recommend the **most suitable strategy**.

The final strategy is identified by the **directional vector** drawn from the origin to the plotted point.

Lesson 25 – Strategic Position and Action Evaluation (SPACE) Matrix

5 Very Important MCQs (Exam Preparation)

1. The SPACE Matrix is a tool used in which stage of the Strategy-Formulation Framework?

- A) Stage 1 (Input Stage)
- B) Stage 2 (Matching Stage) ✓**
- C) Stage 3 (Decision Stage)
- D) Implementation Stage

2. Which of the following is an internal dimension of the SPACE Matrix?

- A) Financial Strength (FS) ✓**
- B) Environmental Stability (ES)
- C) Industry Strength (IS)
- D) Market Growth

3. Which quadrant of the SPACE Matrix recommends expansion and growth strategies?

- A) Aggressive Strategy ✓**
- B) Conservative Strategy
- C) Competitive Strategy
- D) Defensive Strategy

4. In the SPACE Matrix, Financial Strength (FS) and Industry Strength (IS) are rated from:

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- A) -1 to -6
 - B) +1 to +6 ✓**
 - C) 0 to +5
 - D) -6 to +6
-

5. What is the final step in preparing a SPACE Matrix?

- A) Calculate average scores
- B) Assign ratings to variables
- C) Plot the average scores
- D) Draw a directional vector to identify the recommended strategy ✓**

Lesson 27 – Boston Consulting Group (BCG) Matrix (Summarized Notes)

BCG Matrix

The **Boston Consulting Group (BCG) Matrix** is a Stage 2 matching tool used to analyze an organization's business units or products based on **market growth rate** and **relative market share**. It helps managers allocate resources and make strategic decisions.

Purpose of the BCG Matrix

It evaluates product or business performance.

It helps decide where to invest or reduce investment.

It supports portfolio management and strategic planning.

Four Categories of the BCG Matrix

Cash Cows

Cash Cows have **high market share** and **low market growth**. They generate more cash than they require and provide funds for other business units.

Stars

Stars have **high market share** and **high market growth**. They require investment to maintain leadership and are expected to become future Cash Cows.

Question Marks

Question Marks have **low market share** and **high market growth**. They require heavy investment and may become Stars if successful.

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Dogs

Dogs have **low market share** and **low market growth**. They generate little profit and are often sold or discontinued.

Relative Market Share

Relative market share compares a firm's market share with its largest competitor. A higher relative market share usually indicates stronger profitability and cash generation.

Strategic Decisions in BCG Matrix

Build Strategy aims to increase market share.

Hold Strategy maintains the current market position.

Harvest Strategy reduces investment to maximize short-term profits.

Divest Strategy sells or removes weak business units.

Limitations of the BCG Matrix

It is too simple for complex business situations.

Some businesses cannot be clearly classified.

It ignores many important strategic factors.

It considers only market growth and market share.

Important Exam Points

The **BCG Matrix** is a **Stage 2 Matching Tool** of the strategy-formulation framework.

The BCG Matrix is based on **Market Growth Rate** and **Relative Market Share**.

Stars = High Market Share + High Market Growth.

Cash Cows = High Market Share + Low Market Growth.

Question Marks = Low Market Share + High Market Growth.

Dogs = Low Market Share + Low Market Growth.

Cash Cows generate funds to support **Stars** and **Question Marks**.

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The four strategic options are **Build, Hold, Harvest, and Divest**.

The main limitation of the BCG Matrix is that it considers only **market growth** and **relative market share** while ignoring other important factors.

Lesson 27 – Boston Consulting Group (BCG) Matrix

5 Very Important MCQs (Exam Preparation)

1. The BCG Matrix is primarily based on which two factors?

- A) Profit and Sales
- B) Market Growth Rate and Relative Market Share ✓**
- C) Cost and Quality
- D) Assets and Liabilities

2. Which category in the BCG Matrix has a high market share and a high market growth rate?

- A) Cash Cows
- B) Stars ✓**
- C) Dogs
- D) Question Marks

3. Which category generates more cash than it requires and is used to finance other business units?

- A) Cash Cows ✓**
- B) Stars
- C) Dogs
- D) Question Marks

4. Which BCG Matrix category has a low market share but operates in a high-growth industry?

- A) Cash Cows
- B) Stars
- C) Question Marks ✓**
- D) Dogs

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5. Which of the following is a limitation of the BCG Matrix?

- A) It considers too many strategic variables.
- B) It cannot analyze market share.
- C) **It considers only market growth and relative market share. ✓**
- D) It cannot classify business units into categories.

Lesson 28 – Internal-External (IE) Matrix (Summarized Notes)

Internal-External (IE) Matrix

The **Internal-External (IE) Matrix** is a **Stage 2 matching tool** used in the strategy-formulation framework. It combines the results of the **Internal Factor Evaluation (IFE) Matrix** and **External Factor Evaluation (EFE) Matrix** to determine the appropriate strategic direction.

Purpose of the IE Matrix

It evaluates an organization's internal and external position.

It helps managers select suitable strategic alternatives.

It positions business divisions in a **nine-cell matrix**.

Basis of the IE Matrix

The **x-axis** represents the **IFE total weighted score**.

The **y-axis** represents the **EFE total weighted score**.

IFE Score Classification

1.0 – 1.99 = Weak internal position.

2.0 – 2.99 = Average internal position.

3.0 – 4.0 = Strong internal position.

EFE Score Classification

1.0 – 1.99 = Low external position.

2.0 – 2.99 = Medium external position.

3.0 – 4.0 = High external position.

Three Major Regions of the IE Matrix

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Grow and Build

Includes **Cells I, II, and IV.**

Organizations should pursue expansion and growth strategies.

Hold and Maintain

Includes **Cells III, V, and VII.**

Organizations should maintain their current position and improve efficiency.

Harvest or Divest

Includes **Cells VI, VIII, and IX.**

Organizations should reduce investment, harvest profits, or sell weak business units.

Steps to Develop the IE Matrix

Determine the IFE and EFE total weighted scores.

Plot the IFE score on the x-axis.

Plot the EFE score on the y-axis.

Locate the intersection point in the nine-cell matrix.

Identify the recommended strategic region.

Important Exam Points

The **IE Matrix** is a **Stage 2 Matching Tool** of the strategy-formulation framework.

The IE Matrix is based on **IFE** and **EFE** total weighted scores.

The **x-axis** represents **IFE scores**.

The **y-axis** represents **EFE scores**.

The IE Matrix contains **nine cells**.

Grow and Build = **Cells I, II, IV.**

Hold and Maintain = **Cells III, V, VII.**

Harvest or Divest = **Cells VI, VIII, IX.**

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The IE Matrix provides strategic recommendations based on an organization's **internal and external position**.

Lesson 28 – Internal-External (IE) Matrix

5 Very Important MCQs (Exam Preparation)

1. The Internal-External (IE) Matrix is based on which two matrices?

- A) BCG and SPACE Matrices
 - B) IFE and EFE Matrices ✓**
 - C) TOWS and QSPM Matrices
 - D) CPM and BCG Matrices
-

2. In the IE Matrix, the x-axis represents:

- A) IFE Total Weighted Score ✓**
 - B) EFE Total Weighted Score
 - C) Market Growth Rate
 - D) Relative Market Share
-

3. Which cells of the IE Matrix recommend a "Grow and Build" strategy?

- A) III, V, VII
 - B) I, II, IV ✓**
 - C) VI, VIII, IX
 - D) II, V, VIII
-

4. An IFE total weighted score of 3.0 to 4.0 indicates:

- A) Weak internal position
 - B) Average internal position
 - C) Strong internal position ✓**
 - D) Low external position
-

5. Which strategic region includes Cells VI, VIII, and IX in the IE Matrix?

- A) Grow and Build
- B) Hold and Maintain

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- C) Harvest or Divest ✓
- D) Aggressive Strategy

Lesson 29 – Grand Strategy Matrix (Summarized Notes)

Grand Strategy Matrix

The **Grand Strategy Matrix (GSM)** is a **Stage 2 matching tool** used in the strategy-formulation framework. It helps organizations select the most appropriate strategies based on their **competitive position** and **market growth**.

Purpose of the Grand Strategy Matrix

It identifies suitable strategic alternatives.

It places organizations into one of four quadrants.

It helps managers choose the best strategy according to the firm's position.

Basis of the Grand Strategy Matrix

The matrix is based on two dimensions:

Competitive Position

Market Growth

Quadrant I

Quadrant I represents firms with a **strong competitive position** and **rapid market growth**. These firms are in an excellent strategic position and should focus on growth.

Recommended Strategies

Market Penetration.

Market Development.

Product Development.

Forward Integration.

Backward Integration.

Horizontal Integration.

Concentric Diversification.

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Quadrant II

Quadrant II represents firms with a **weak competitive position** but **rapid market growth**. These firms need to improve their competitiveness.

Recommended Strategies

Market Penetration.

Market Development.

Product Development.

Horizontal Integration.

Divestiture.

Liquidation.

Quadrant III

Quadrant III represents firms with a **weak competitive position** and **slow market growth**. These firms require major changes to survive.

Recommended Strategies

Retrenchment.

Concentric Diversification.

Horizontal Diversification.

Conglomerate Diversification.

Liquidation.

Quadrant IV

Quadrant IV represents firms with a **strong competitive position** but **slow market growth**. These firms should diversify into more profitable businesses.

Recommended Strategies

Concentric Diversification.

Horizontal Diversification.

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Conglomerate Diversification.

Joint Ventures.

Important Exam Points

The **Grand Strategy Matrix** is a **Stage 2 Matching Tool**.

The matrix is based on **Competitive Position** and **Market Growth**.

The Grand Strategy Matrix has **four quadrants**.

Quadrant I = Strong Competitive Position + Rapid Market Growth.

Quadrant II = Weak Competitive Position + Rapid Market Growth.

Quadrant III = Weak Competitive Position + Slow Market Growth.

Quadrant IV = Strong Competitive Position + Slow Market Growth.

Quadrant I mainly focuses on **growth strategies**.

Quadrant III mainly recommends **Retrenchment** and **Liquidation**.

Quadrant IV mainly recommends **Diversification** and **Joint Ventures**.

Lesson 29 – Grand Strategy Matrix

5 Very Important MCQs (Exam Preparation)

1. The Grand Strategy Matrix is based on which two dimensions?

- A) Market Share and Profitability
- B) Competitive Position and Market Growth ✓**
- C) Internal Strength and External Opportunities
- D) Cost and Differentiation

2. Which quadrant represents firms with a strong competitive position and rapid market growth?

- A) Quadrant I ✓**
- B) Quadrant II
- C) Quadrant III
- D) Quadrant IV

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3. Which strategy is commonly recommended for firms in Quadrant III of the Grand Strategy Matrix?

- A) Market Penetration
- B) Forward Integration
- C) **Retrenchment** ✓
- D) Joint Venture

4. Firms in Quadrant IV of the Grand Strategy Matrix are characterized by:

- A) Weak competitive position and rapid market growth
- B) Weak competitive position and slow market growth
- C) **Strong competitive position and slow market growth** ✓
- D) Strong competitive position and rapid market growth

5. Which strategy is recommended for firms in Quadrant IV?

- A) Market Penetration
- B) Product Development
- C) **Joint Venture** ✓
- D) Retrenchment

Lesson 30 – Quantitative Strategic Planning Matrix (QSPM) (Summarized Notes)

Quantitative Strategic Planning Matrix (QSPM)

The **Quantitative Strategic Planning Matrix (QSPM)** is the **Stage 3 (Decision Stage)** tool of the strategy-formulation framework. It helps managers **objectively evaluate and select the best alternative strategy**.

Purpose of QSPM

It compares alternative strategies.

It determines the relative attractiveness of each strategy.

It helps select the most suitable strategy based on internal and external factors.

Basis of QSPM

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QSPM uses information from **Stage 1** and **Stage 2** of the strategy-formulation framework.

Stage 1: EFE Matrix, IFE Matrix, Competitive Profile Matrix (CPM).

Stage 2: TOWS Matrix, SPACE Matrix, BCG Matrix, IE Matrix, Grand Strategy Matrix.

Components of QSPM

Internal factors include **Strengths** and **Weaknesses**.

External factors include **Opportunities** and **Threats**.

Each factor is assigned a **weight** based on its importance.

Alternative strategies are evaluated using **Attractiveness Scores (AS)**.

The strategy with the **highest Total Attractiveness Score (TAS)** is considered the best.

Steps to Prepare QSPM

List key internal and external factors.

Assign weights to each factor.

Identify alternative strategies from Stage 2 matrices.

Assign Attractiveness Scores (AS).

Calculate Total Attractiveness Scores (TAS).

Select the strategy with the highest total score.

Advantages of QSPM

Provides an objective method for strategy selection.

Integrates both internal and external factors.

Allows comparison of multiple strategies at the same time.

Limitations of QSPM

Requires intuitive judgment and assumptions.

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Depends on the accuracy of Stage 1 and Stage 2 information.

Compares only the selected alternative strategies.

Important Exam Points

The **QSPM** is the **only tool in Stage 3 (Decision Stage)**.

QSPM is used to **select the best alternative strategy**.

QSPM uses inputs from **Stage 1** and **Stage 2**.

Internal factors include **Strengths** and **Weaknesses**.

External factors include **Opportunities** and **Threats**.

The **sum of all factor weights must equal 1**.

AS stands for **Attractiveness Score**.

TAS stands for **Total Attractiveness Score**.

The strategy with the **highest Total Attractiveness Score (TAS)** is the most appropriate strategy.

Lesson 30 – Quantitative Strategic Planning Matrix (QSPM)

5 Very Important MCQs (Exam Preparation)

1. The Quantitative Strategic Planning Matrix (QSPM) belongs to which stage of the strategy-formulation framework?

- A) Stage 1 – Input Stage
- B) Stage 2 – Matching Stage
- C) Stage 3 – Decision Stage ✓**
- D) Stage 4 – Implementation Stage

2. What is the main purpose of the QSPM?

- A) To identify strengths and weaknesses
 - B) To analyze competitors
 - C) To select the best alternative strategy objectively ✓**
 - D) To measure market share
-

MGT603 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

3. Which matrices provide the input information for preparing a QSPM?

- A) Only BCG Matrix
- B) Stage 1 and Stage 2 Matrices ✓
- C) Only IE Matrix
- D) Only Grand Strategy Matrix

4. In the QSPM, the strategy with the highest _____ is considered the most appropriate.

- A) Market Share
- B) Industry Growth Rate
- C) Total Attractiveness Score (TAS) ✓
- D) Competitive Advantage

5. In the QSPM, the sum of all factor weights must be:

- A) 10
- B) 100
- C) 1 ✓
- D) 0

Lesson 31 – The Nature of Strategy Implementation (Summarized Notes)

Strategy Implementation

Strategy implementation is the process of **putting strategies into action**. It converts strategic plans into practical activities to achieve organizational goals.

Importance of Strategy Implementation

A good strategy alone is not enough.

Successful implementation is essential for achieving organizational success.

Most organizations fail because of **poor execution**, not poor strategy.

Strategy Formulation vs. Strategy Implementation

Strategy formulation focuses on **planning and effectiveness**.

Strategy implementation focuses on **execution and efficiency**.

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Formulation is an **intellectual process**.

Implementation is an **operational process**.

Formulation requires analytical and intuitive skills.

Implementation requires leadership, motivation, and coordination.

Activities in Strategy Implementation

Allocating resources.

Changing organizational structure.

Hiring and training employees.

Developing budgets.

Changing pricing and marketing strategies.

Improving information systems.

Establishing cost-control procedures.

Management Issues in Strategy Implementation

Establishing annual objectives.

Developing policies.

Allocating resources.

Managing organizational change.

Creating a supportive culture.

Reducing resistance to change.

Matching managers with strategy.

Developing human resources.

Annual Objectives

Annual objectives are short-term goals that support long-term strategies.

They provide direction for strategy implementation.

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They help evaluate performance and allocate resources.

SMART Criteria for Objectives

Specific – Clearly define the objective.

Measurable – Progress can be measured.

Achievable – Realistic and attainable.

Relevant – Related to organizational goals.

Time Bound – Completed within a specific time.

Importance of Annual Objectives

Guide organizational activities.

Measure performance.

Motivate employees.

Set departmental priorities.

Support long-term objectives.

Provide a basis for rewards and evaluation.

Policies

Policies are written guidelines and rules that help implement strategies.

They guide decision-making and solve recurring problems.

Policies define what employees and managers can and cannot do.

They improve coordination and support organizational objectives.

Important Exam Points

Strategy Implementation means **putting strategies into action**.

Most organizations fail because of **poor strategy implementation**, not poor strategy formulation.

Strategy Formulation focuses on **effectiveness**, while **Strategy Implementation** focuses on **efficiency**.

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Implementation requires **leadership, motivation, and coordination**.

Annual objectives are essential for **resource allocation, performance evaluation, and strategy implementation**.

Annual objectives should follow the **SMART** criteria.

SMART stands for **Specific, Measurable, Achievable, Relevant, and Time Bound**.

Policies are guidelines that support strategy implementation.

Policies help **guide decisions, reduce confusion, and improve coordination**.

Lesson 31 – The Nature of Strategy Implementation

5 Very Important MCQs (Exam Preparation)

1. Strategy implementation primarily refers to:

- A) Developing new strategies
- B) Putting strategies into action ✓**
- C) Analyzing competitors
- D) Evaluating the external environment

2. Strategy formulation mainly focuses on:

- A) Effectiveness ✓**
- B) Efficiency
- C) Productivity
- D) Cost reduction

3. Which of the following represents the SMART criteria for objectives?

- A) Simple, Manageable, Achievable, Reliable, Timely
- B) Specific, Measurable, Achievable, Relevant, Time Bound ✓**
- C) Strategic, Measurable, Accurate, Realistic, Timely
- D) Specific, Modern, Available, Relevant, Tested

4. Annual objectives are important because they:

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- A) Replace long-term objectives
 - B) Eliminate organizational policies
 - C) Help allocate resources and evaluate performance ✓**
 - D) Focus only on marketing activities
-

5. Policies are mainly used to:

- A) Formulate new strategies
- B) Guide decision-making and support strategy implementation ✓**
- C) Increase market share directly
- D) Analyze competitors

Lesson 32 – Resource Allocation (Summarized Notes)

Resource Allocation

Resource allocation is the process of distributing available resources among different projects, departments, or business units to achieve organizational objectives.

Purpose of Resource Allocation

It supports strategy implementation.

It ensures resources are allocated according to organizational priorities.

It helps achieve annual and long-term objectives.

Types of Resources

Financial Resources.

Physical Resources.

Human Resources.

Technological Resources.

Factors Affecting Resource Allocation

Organizational politics.

Personal interests.

Short-term financial focus.

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Lack of knowledge.

Reluctance to take risks.

Unclear strategic objectives.

Importance of Resource Allocation

Helps execute strategies effectively.

Improves organizational performance.

Ensures efficient use of available resources.

Supports achievement of organizational goals.

Conflict

Conflict is a disagreement or opposition between individuals or groups because of incompatible goals or interests.

Types of Conflict

Intrapersonal Conflict – Within an individual.

Interpersonal Conflict – Between two individuals.

Group Conflict – Between groups.

Organizational Conflict – Within an organization.

Community Conflict – Between communities.

Intra-state Conflict – Within a country.

International Conflict – Between countries.

Conflict Resolution Approaches

High concern for both parties leads to mutually beneficial solutions.

High concern for self leads to winning the conflict.

High concern for others leads to allowing others to win.

No concern for either side leads to avoiding conflict.

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Organizational Structure

Organizational structure supports strategy implementation.

The structure should match the organization's strategy.

As organizations grow, structures become more complex.

Types of Organizational Structure

Functional Structure.

Divisional by Geographic Area.

Divisional by Product.

Divisional by Customer.

Divisional by Process.

Strategic Business Unit (SBU).

Matrix Structure.

Important Exam Points

Resource Allocation means distributing organizational resources to achieve objectives.

The **four main resources** are **Financial, Physical, Human, and Technological**.

Resource allocation is essential for **strategy implementation**.

Conflict occurs because of **incompatible goals or interests**.

The main types of conflict are **Intrapersonal, Interpersonal, Group, Organizational, Community, Intra-state, and International**.

An effective organizational structure supports **successful strategy implementation**.

The **seven organizational structures** are Functional, Geographic, Product, Customer, Process, SBU, and Matrix.

As organizations grow, their structure generally changes from **simple to complex**.

Lesson 32 – Resource Allocation

MGT603 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

5 Very Important MCQs (Exam Preparation)

1. Resource allocation is the process of:

- A) Hiring new employees only
 - B) Allocating available resources among projects or business units ✓**
 - C) Increasing product prices
 - D) Closing departments
-

2. Which of the following is NOT a major organizational resource?

- A) Financial resources
 - B) Human resources
 - C) Technological resources
 - D) Political resources ✓**
-

3. In strategic management, resources should be allocated according to:

- A) Personal preferences
 - B) Organizational politics
 - C) Annual objectives and strategic priorities ✓**
 - D) Employee seniority
-

4. Which type of conflict occurs between two individuals?

- A) Intrapersonal conflict
 - B) Interpersonal conflict ✓**
 - C) Organizational conflict
 - D) International conflict
-

5. Large organizations commonly use which organizational structure?

- A) Functional structure
- B) Divisional structure
- C) Strategic Business Unit (SBU) or Matrix structure ✓**
- D) Informal structure

Lesson 33 – Organizational Structure (Summarized Notes)

MGT603 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Organizational Structure

Organizational structure defines how tasks, responsibilities, authority, and communication are arranged within an organization to achieve its objectives efficiently.

Functional Structure

A functional structure groups activities according to business functions such as marketing, finance, production, HR, and R&D. It is simple, inexpensive, and suitable for organizations with a single or dominant product.

Advantages of Functional Structure

Easy to manage and low cost.

Promotes specialization and efficiency.

Allows quick decision-making.

Requires a simple control system.

Disadvantages of Functional Structure

Limited flexibility.

Poor communication between departments.

Low employee morale.

Limited career development.

Divisional Structure

A divisional structure divides an organization into separate business units, each operating as a profit center. It is suitable for large organizations with multiple products or markets.

Types of Divisional Structure

By Geographic Area: Organized according to different regions.

By Product: Organized according to different products or services.

By Customer: Organized according to different customer groups.

By Process: Organized according to production or operational processes.

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Advantages of Divisional Structure

Clear accountability.

Better employee motivation.

Improved local decision-making.

Easy addition of new products or businesses.

Disadvantages of Divisional Structure

Higher operating costs.

Duplication of staff and resources.

Requires skilled managers.

Complex control system.

Strategic Business Unit (SBU) Structure

An SBU is a separate business unit with its own objectives, competitors, and strategies. Similar divisions are grouped together and managed independently to improve coordination and accountability.

Advantages of SBU Structure

Better strategic planning.

Improved coordination among similar divisions.

Clear responsibility and accountability.

Disadvantages of SBU Structure

Additional management layer.

Higher administrative costs.

Possible confusion in management roles.

Matrix Structure

A matrix structure combines functional and divisional structures. Employees report to both functional and project managers, resulting in dual authority.

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Advantages of Matrix Structure

Clear project objectives.

Improved communication.

Better teamwork.

Easy project completion and closure.

Disadvantages of Matrix Structure

Complex reporting relationships.

Higher management costs.

Dual authority may create conflicts.

Requires effective communication.

Restructuring

Restructuring (downsizing or rightsizing) reduces the size of the organization by decreasing employees, departments, or management levels to improve efficiency and effectiveness.

Reengineering

Reengineering redesigns work processes to improve cost, quality, service, and speed. It focuses on improving business processes rather than changing the organizational structure.

Important Exam Points

Functional Structure is **simple, centralized, and based on business functions**.

Divisional Structure divides the organization into **profit centers**.

The **four types** of divisional structure are **Geographic Area, Product, Customer, and Process**.

An **SBU (Strategic Business Unit)** has its **own strategy, objectives, and competitors**.

The **Matrix Structure** uses **dual authority** and combines functional and divisional structures.

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Restructuring focuses on **reducing organizational size** to improve efficiency.

Reengineering focuses on **redesigning work processes** to improve quality, cost, service, and speed.

Functional Structure is best for organizations with a **single or dominant product**.

Divisional Structure provides **clear accountability and better local decision-making**.

Matrix Structure requires **strong communication and coordination** due to dual reporting.

Lesson 33 – Organizational Structure

5 Very Important MCQs (Exam Preparation)

1. Functional structure organizes activities according to:

- A) Geographic regions
- B) Business functions ✓**
- C) Customer groups
- D) Product lines

2. Which organizational structure divides the organization into separate profit centers?

- A) Functional structure
- B) Divisional structure ✓**
- C) Matrix structure
- D) Network structure

3. A Strategic Business Unit (SBU) is a business unit that has its own:

- A) Employees only
- B) Financial department only
- C) Strategy, objectives, and competitors ✓**
- D) Marketing department only

4. The Matrix Structure is characterized by:

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- A) Single line of authority
 - B) Centralized decision-making only
 - C) Dual authority and dual reporting relationships ✓**
 - D) One manager for each employee
-

5. Reengineering mainly focuses on:

- A) Reducing the number of employees
- B) Closing business divisions
- C) Redesigning work processes to improve performance ✓**
- D) Expanding organizational hierarchy

Lesson 34 – Restructuring (Summarized Notes)

Restructuring

Restructuring is the process of reorganizing a company to make it more efficient and profitable. It usually involves selling unprofitable divisions, reducing staff, outsourcing operations, refinancing debt, changing management, and reorganizing business functions.

Characteristics of Restructuring

Restructuring may include selling parts of the company, staff reductions, changes in corporate management, sale of underutilized assets, outsourcing operations, moving operations to lower-cost locations, reorganization of functions, renegotiation of labor contracts, refinancing corporate debt, and public relations campaigns.

Benefits of Restructuring

Makes the company leaner and more efficient.

Improves profitability and competitiveness.

Focuses the company on its core business.

Reduces operating costs.

Disadvantages of Restructuring

Employee layoffs and uncertainty.

Reduced employee morale and commitment.

Lower creativity and innovation.

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Increased workload for managers.

Reengineering

Reengineering is the radical redesign of business processes to improve cost, quality, service, and speed. It focuses on redesigning work processes rather than changing the organizational structure.

Criticisms of Reengineering

Often associated with employee layoffs.

Assumes business processes are always the main problem.

Ignores organizational constraints.

May fail to achieve expected improvements.

Linking Performance and Pay to Strategies

Organizations motivate employees through performance-based compensation systems.

Common Pay Strategies

Pay-for-Performance: Rewards employees based on individual performance.

Merit Pay: Salary increases based on employee performance.

Profit Sharing: Employees receive a share of company profits.

Gain Sharing: Employees receive bonuses when performance targets are exceeded.

Performance Bonuses: Bonuses are linked with annual and long-term strategic objectives.

Managing Resistance to Change

Employees resist change because of uncertainty, fear of job loss, economic loss, inconvenience, and disruption of normal work patterns.

Strategies to Manage Resistance

Force Change Strategy: Uses authority and orders to implement change quickly but creates high resistance.

Educative Change Strategy: Educates employees about the need for change. It is slower but creates greater commitment.

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Rational or Self-Interest Change Strategy: Explains personal benefits of change, making employees more willing to support implementation.

Managing the Natural Environment

Organizations should conserve natural resources, reduce pollution, develop environmentally friendly products, manage waste effectively, conserve energy, and include environmental concerns in strategic planning.

Creating a Strategy-Supportive Culture

Organizations should strengthen cultural values that support new strategies and change those that oppose them. This can be achieved through recruitment, training, promotion, restructuring, role modeling, and positive reinforcement.

Important Exam Points

Restructuring focuses on **reducing organizational size and improving efficiency**.

Reengineering focuses on **redesigning business processes** to improve **cost, quality, service, and speed**.

The **main goal of restructuring** is **cost reduction and improved profitability**.

Common **pay strategies** include **Pay-for-Performance, Merit Pay, Profit Sharing, Gain Sharing, and Performance Bonuses**.

The **three strategies** to manage resistance are **Force Change, Educative Change, and Rational or Self-Interest Change**.

Organizations should **protect the natural environment** by reducing pollution, conserving resources, and developing **green products**.

A **strategy-supportive culture** is developed through **recruitment, training, promotion, restructuring, role modeling, and positive reinforcement**.

Lesson 34 – Restructuring

5 Very Important MCQs (Exam Preparation)

1. The main purpose of restructuring is to:

- A) Increase product prices
- B) Improve efficiency and profitability ✓**
- C) Expand the workforce
- D) Develop new products

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2. Reengineering primarily focuses on:

- A) Reducing the number of employees
- B) Changing the organizational structure
- C) **Redesigning business processes to improve performance ✓**
- D) Increasing market share

3. Which strategy for managing resistance to change uses education and information to convince employees?

- A) Force Change Strategy
- B) **Educative Change Strategy ✓**
- C) Rational Change Strategy
- D) Defensive Strategy

4. Which of the following is a commonly used performance-based reward system?

- A) Market Penetration
- B) Benchmarking
- C) **Profit Sharing ✓**
- D) Retrenchment

5. Creating a strategy-supportive culture involves:

- A) Ignoring employee training
- B) Reducing communication among employees
- C) **Strengthening cultural values that support new strategies ✓**
- D) Avoiding organizational change

**Lesson 35 – Production/Operations Concerns When Implementing Strategies
(Summarized Notes)**

Production/Operations Concerns When Implementing Strategies

Production and operations play a vital role in successful strategy implementation because production processes usually represent more than **70% of a firm's total assets**. Decisions regarding production directly affect organizational performance and the achievement of strategic objectives.

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Major Production/Operations Decisions

Production managers make important decisions regarding plant location, plant size, product design, choice of equipment, inventory size, inventory control, quality control, cost control, use of standards, shipping and packaging, technological innovation, job specialization, employee training, and equipment utilization.

Strategy Implementation and Production

Different strategies require different production system adjustments.

Hospital (Product Development): Purchase specialized equipment and hire specialized staff.

Bank (Market Development): Perform site location analysis for new branches.

Computer Company (Forward Integration): Modify shipping, packaging, and transportation systems.

Steel Manufacturer (Conglomerate Diversification): Improve the quality control system.

Just-In-Time (JIT)

Just-In-Time (JIT) is an inventory management system that reduces inventory costs by receiving materials only when they are needed for production.

Advantages of JIT

Reduces inventory and storage costs.

Improves return on investment.

Improves production efficiency.

Improves product quality.

Limitations of JIT

Unexpected increases in demand may cause inventory shortages.

Requires accurate demand forecasting.

Depends on reliable suppliers and timely deliveries.

Philosophy of JIT

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JIT follows the principle of providing "**the right material, at the right time, at the right place, and in the exact amount.**"

Inventory is viewed as a cost rather than an asset and should be minimized whenever possible.

Factors Affecting Plant Location

Transportation costs.

Location of major markets.

Availability of raw materials.

Availability of skilled labor.

Wage rates.

Political risks.

Cross-Training of Employees

Cross-training means teaching employees multiple jobs so they can perform different tasks when required.

Advantages of Cross-Training

Improves employee understanding of the business.

Encourages better planning and teamwork.

Increases workforce flexibility.

Disadvantages of Cross-Training

Requires additional training costs.

Time-consuming process.

May create conflicts between skilled and unskilled workers.

Older employees may resist learning new skills.

Human Resource Concerns

Human resources are essential for successful strategy implementation. HR managers are responsible for staffing, employee motivation, health, safety, security,

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performance incentives, and linking employee performance with organizational strategies.

Employee Stock Ownership Plan (ESOP)

An ESOP allows employees to own shares in the company, encouraging commitment, motivation, and profit sharing.

Causes of Human Resource Problems

Disruption of social and political structures.

Failure to match employee skills with implementation tasks.

Lack of top management support.

Important Exam Points

Production processes usually represent **more than 70% of a firm's total assets**.

JIT (Just-In-Time) reduces inventory by receiving materials **only when needed**.

The **main philosophy of JIT** is "**the right material, at the right time, at the right place, and in the exact amount.**"

Important **plant location factors** include transportation costs, markets, labor availability, wage rates, and political risks.

Cross-training improves employee flexibility but requires additional time and training costs.

Human Resource Management supports strategy implementation through staffing, motivation, incentives, and employee development.

The **three main causes** of HR problems are **disruption of social structures, poor employee-task matching, and lack of top management support**.

Lesson 35 – Production/Operations Concerns When Implementing Strategies

5 Very Important MCQs (Exam Preparation)

1. Production processes typically constitute approximately what percentage of a firm's total assets?

- A)40%
- B)50%

MGT603 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

- C) More than 70% ✓
D) 90%
-

2. The main objective of the Just-In-Time (JIT) inventory system is to:

- A) Increase inventory levels
B) Reduce inventory and related costs ✓
C) Increase warehouse space
D) Maintain excess stock
-

3. According to the JIT philosophy, inventory is primarily viewed as:

- A) A valuable business asset
B) A cost that does not add value ✓
C) A source of competitive advantage
D) A measure of company growth
-

4. Which of the following is a major human resource concern during strategy implementation?

- A) Product pricing
B) Plant location
C) Linking employee performance and pay to strategies ✓
D) Market segmentation
-

5. Human resource problems during strategy implementation are commonly caused by:

- A) High customer demand
B) Excessive advertising
C) Inadequate top management support for implementation activities ✓
D) Too much inventory
-

Lesson 36 – Market Segmentation (Summarized Notes)

Market Segmentation

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Market segmentation is the process of dividing a market into smaller groups of customers who have similar needs, characteristics, or buying behavior. It helps organizations develop effective marketing strategies for different customer groups.

Need for Market Segmentation

Market segmentation is important because different customers have different needs. Instead of treating the entire market the same, firms divide customers into groups and develop products and marketing strategies according to each group's requirements.

Mass Marketing

Mass marketing treats the entire market as one large group and offers the same product and marketing mix to everyone.

Advantages of Mass Marketing

Low production cost.

Economies of scale.

Simple marketing strategy.

Disadvantages of Mass Marketing

Ignores different customer needs.

Less effective in competitive markets.

May lose customers to specialized competitors.

Target Marketing

Target marketing recognizes customer diversity and develops different marketing strategies for different market segments.

Requirements for Successful Market Segmentation

Homogeneity within the segment.

Heterogeneity between segments.

Segments must be measurable and identifiable.

Segments must be accessible and actionable.

Segments should be large enough to be profitable.

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Marketing Mix (4 Ps)

Product: Goods or services offered to customers.

Price: Amount charged for the product and pricing strategy.

Place: Distribution channels and target market location.

Promotion: Advertising and communication methods used to attract customers.

Bases for Consumer Market Segmentation

Geographic Segmentation

Customers are divided according to geographic location.

Examples include region, population size, population density, and climate.

Demographic Segmentation

Customers are divided according to demographic characteristics.

Examples include age, gender, family size, income, occupation, education, religion, nationality, ethnicity, and social class.

Psychographic Segmentation

Customers are divided according to lifestyle and personality.

Examples include activities, interests, opinions, attitudes, and values.

Behavioral Segmentation

Customers are divided according to their buying behavior.

Examples include benefits sought, usage rate, brand loyalty, user status, readiness to buy, and purchase occasions.

Market Segmentation and Strategy Implementation

Market segmentation plays an important role in strategy implementation because it helps organizations identify suitable target markets and implement marketing strategies more effectively.

Importance of Market Segmentation in Strategy Implementation

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Supports market development, product development, market penetration, and diversification strategies.

Allows small firms to compete effectively with large firms.

Reduces the need for mass production and mass advertising.

Improves the effectiveness of the marketing mix.

Helps maximize sales and profitability.

Important Exam Points

Market segmentation divides customers into **smaller homogeneous groups**.

The **five requirements** for successful segmentation are **homogeneity, heterogeneity, measurability, accessibility, and profitability**.

The **4 Ps of Marketing Mix** are **Product, Price, Place, and Promotion**.

The **four bases of market segmentation** are **Geographic, Demographic, Psychographic, and Behavioral**.

Mass marketing treats the entire market as **one homogeneous group**.

Target marketing recognizes **customer diversity** and develops separate marketing strategies.

Behavioral segmentation is based on **customer buying behavior**.

Psychographic segmentation focuses on **lifestyle, attitudes, interests, opinions, and values**.

Demographic segmentation includes **age, gender, income, education, occupation, religion, and social class**.

Market segmentation helps firms **implement strategies effectively while using limited resources**.

Lesson 36 – Market Segmentation

5 Very Important MCQs (Exam Preparation)

1. Market segmentation is the process of:

A) Increasing product prices

B) Dividing a market into smaller groups of similar customers ✓

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- C)Reducing production costs
 - D)Eliminating competitors
-

2. Which of the following is NOT one of the four bases of consumer market segmentation?

- A)Geographic
 - B)Demographic
 - C)Psychographic
 - D)Technological ✓**
-

3. Which of the following represents the four Ps of the marketing mix?

- A)People, Product, Process, Promotion
 - B)Product, Price, Place, Promotion ✓**
 - C)Price, Planning, Promotion, Process
 - D)Product, Profit, Place, Performance
-

4. Behavioral segmentation is primarily based on:

- A)Customer income
 - B)Customer location
 - C)Customer buying behavior ✓**
 - D)Customer education level
-

5. Market segmentation is important in strategy implementation because it:

- A)Eliminates the need for marketing
- B)Increases production costs
- C)Helps firms target specific customer groups and compete effectively ✓**
- D)Makes all customers buy the same product

Lesson 37 – Marketing Mix & Product Positioning (Summarized Notes)

Marketing Mix

The marketing mix consists of four controllable elements that help organizations satisfy customer needs and achieve marketing objectives. These elements are known as the **4 Ps**.

MGT603 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

The Four Ps of Marketing

Product

Product refers to the goods or services offered to customers.

Product Decisions

Brand name.

Functionality.

Styling.

Quality.

Safety.

Packaging.

Repairs and support.

Warranty.

Accessories and services.

Price

Price refers to the amount customers pay for a product or service.

Price Decisions

Pricing strategy (Skimming, Penetration, etc.).

Suggested retail price.

Volume discounts.

Cash and early payment discounts.

Seasonal pricing.

Bundling.

Price flexibility.

Price discrimination.

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Place (Distribution)

Place refers to how products are delivered to customers.

Distribution Decisions

Distribution channels.

Market coverage.

Channel members.

Inventory management.

Warehousing.

Distribution centers.

Order processing.

Transportation.

Reverse logistics.

Promotion

Promotion refers to all communication activities used to inform and persuade customers.

Promotion Decisions

Promotional strategy (Push or Pull).

Advertising.

Personal selling.

Sales promotion.

Public relations and publicity.

Marketing communication budget.

Product Positioning

MGT603 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Product positioning means **how a product is perceived in relation to competing products in the market**. It helps customers understand why they should choose one product over another.

Successful product positioning is usually based on a product's **sustainable competitive advantage**.

Common Product Positioning Strategies

Positioning on product features.

Positioning on customer benefits or needs.

Positioning on product usage.

Positioning on usage occasions.

Positioning based on reasons to choose the product.

Positioning against competitors.

Positioning through product class dissociation.

Positioning using cultural symbols.

Steps in Product Positioning

Select key criteria that differentiate products or services.

Draw a two-dimensional product positioning map.

Plot competitors' products on the map.

Identify market gaps or vacant niches.

Develop a marketing plan for the selected position.

Important Exam Points

The **Marketing Mix** consists of **Product, Price, Place, and Promotion (4 Ps)**.

Product includes **quality, branding, packaging, warranty, and services**.

Price includes **pricing strategy, discounts, bundling, and price flexibility**.

Place includes **distribution channels, inventory, warehousing, transportation, and logistics**.

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Promotion includes **advertising, sales promotion, public relations, personal selling, and communication budget.**

Product Positioning means **how a product is viewed compared to competing products.**

Successful positioning is based on a **sustainable competitive advantage.**

The **five steps** of product positioning are **select criteria, draw positioning map, plot competitors, identify market gaps, and develop a marketing plan.**

A **product positioning map** helps identify **vacant market niches and competitive opportunities.**

Lesson 37 – Marketing Mix & Product Positioning

5 Very Important MCQs (Exam Preparation)

1. The marketing mix consists of which four elements?

- A) Product, Profit, Process, Promotion
- B) Product, Price, Place, Promotion ✓**
- C) People, Product, Price, Process
- D) Planning, Product, Place, Performance

2. Product positioning refers to:

- A) Setting the product price
- B) Designing product packaging
- C) How a product appears in relation to competing products in the market ✓**
- D) Selecting distribution channels

3. Which of the following is a product decision?

- A) Warehousing
- B) Transportation
- C) Brand name ✓**
- D) Advertising budget

4. Which of the following is included in promotion decisions?

MGT603 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

- A) Inventory management
 - B) Price discrimination
 - C) Advertising ✓**
 - D) Warehousing
-

5. The final step in product positioning is to:

- A) Plot competitors on the positioning map
- B) Select key positioning criteria
- C) Identify vacant market niches
- D) Develop a marketing plan to position the product appropriately ✓**

Lesson 38 – Finance/Accounting Issues (Summarized Notes)

Finance/Accounting Issues in Strategy Implementation

Finance and accounting play a vital role in successful strategy implementation. Important financial decisions include raising capital, preparing financial statements, budgeting, and evaluating the worth of a business.

Major Finance/Accounting Decisions

Obtaining required capital.

Preparing pro forma financial statements.

Preparing financial budgets.

Evaluating the worth of a business.

Making decisions about inventory, dividends, receivables, and accounting methods (LIFO/FIFO).

Acquiring Capital

Organizations mainly obtain capital through **Debt** and **Equity**.

Debt: Money borrowed from external sources.

Equity: Funds provided by shareholders or owners.

Debt-to-Equity (D/E) Ratio

Measures financial leverage by comparing total liabilities with shareholders' equity.

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Formula:

$$D/E = \text{Total Liabilities} \div \text{Shareholders' Equity}$$

Advantages of Debt Financing

Ownership remains with existing shareholders.

Interest payments may reduce taxes.

Can increase return on investment if earnings exceed borrowing costs.

Disadvantages of Debt Financing

Fixed interest obligations.

High debt increases financial risk.

Can threaten company survival during low-profit periods.

Disadvantages of Equity Financing

Ownership becomes diluted.

Future profits are shared with new shareholders.

May reduce earnings per share.

EPS/EBIT Analysis

EPS/EBIT analysis helps determine whether **debt, equity, or a combination of both** is the best way to raise capital.

EBIT: Earnings Before Interest and Taxes.

EPS: Earnings Per Share.

The analysis compares financing alternatives under different earnings scenarios.

Pro Forma Financial Statements

Pro forma financial statements are **projected financial statements** used to estimate future financial performance and support strategic decision-making.

Types of Pro Forma Statements

Pro Forma Income Statement: Projects future revenues, expenses, and profits.

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Pro Forma Balance Sheet: Projects future assets, liabilities, and equity.

Uses of Pro Forma Statements

Support business planning.

Forecast sales, profits, and cash flows.

Compare alternative business strategies.

Estimate future financial ratios.

Help obtain financing from banks and investors.

Steps in Pro Forma Financial Analysis

Prepare projected income statement.

Estimate expenses using percentage-of-sales method.

Calculate projected net income.

Adjust retained earnings.

Prepare projected balance sheet.

Review assumptions and remarks.

Financial Budgets

A financial budget is a plan showing how funds will be obtained and spent during a specific period.

Types of Financial Budgets

Cash Budget

Operating Budget

Sales Budget

Profit Budget

Capital Budget

Expense Budget

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Divisional Budget

Flexible Budget

Fixed Budget

Advantages of Financial Budgets

Efficient resource allocation.

Supports strategy implementation.

Improves financial planning.

Helps control organizational spending.

Limitations of Financial Budgets

May become too detailed.

Can hide inefficiencies.

Sometimes replace organizational objectives.

May reduce employee motivation if used improperly.

Evaluating the Worth of a Business

Business valuation is important during acquisitions, mergers, retrenchment, and divestiture.

Three Methods of Business Valuation

1. Asset-Based Approach

Measures business value based on **net worth** (shareholders' equity).

2. Earnings-Based Approach

Measures value according to **future expected profits**.

3. Market-Based Approach

Measures value using market comparisons.

Includes:

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Selling price of similar companies.

Price-Earnings (P/E) Ratio Method.

Outstanding Shares Method.

Important Exam Points

Finance and accounting support **strategy implementation** through capital acquisition, budgeting, and financial planning.

The **two major sources of capital** are **Debt and Equity**.

Debt-to-Equity Ratio measures a firm's **financial leverage**.

EPS/EBIT analysis helps select the **best financing option**.

Pro Forma Financial Statements are **projected financial statements** used for planning.

The **two main Pro Forma Statements** are the **Income Statement** and **Balance Sheet**.

Financial budgets help allocate resources for implementing strategies.

The **three methods of business valuation** are **Asset-Based, Earnings-Based, and Market-Based** approaches.

A **Pro Forma Income Statement** forecasts future profit, while a **Pro Forma Balance Sheet** forecasts future financial position.

Financial budgeting supports **effective strategy implementation and resource utilization**.

Lesson 38 – Finance/Accounting Issues (5 Very Important MCQs)

1. The main purpose of finance and accounting in strategy implementation is to:

- A) Increase marketing activities
- B) Control employee behavior
- C) **Ensure availability and effective use of financial resources ✓**
- D) Improve production speed

2. The Debt-to-Equity (D/E) ratio is used to measure:

- A) Profitability
- B) Liquidity

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- C) Financial leverage of a company ✓
D) Market share
-

3. EPS/EBIT analysis is mainly used to:

- A) Evaluate employee performance
B) Set product prices
C) Decide the best financing option (debt or equity) ✓
D) Design marketing strategy
-

4. Pro forma financial statements are:

- A) Historical financial reports
B) Projected financial statements for future planning ✓
C) Tax documents only
D) Audit reports
-

5. Which of the following is NOT a method of evaluating the worth of a business?

- A) Asset-based approach
B) Earnings-based approach
C) Market-based approach
D) Cost of goods sold method ✓
-

Lesson 39 – Research and Development (R&D) Issues (Summarized Notes)

Research and Development (R&D) Issues in Strategy Implementation

Research and Development (R&D) plays an important role in strategy implementation by developing new products and improving existing ones to support organizational goals.

Going Public

Going public means selling a portion of the company's ownership to the public to raise capital.

Advantages of Going Public

Helps raise capital for expansion, new products, and growth.

Improves market presence and financial strength.

Requirements Before Going Public

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Strong and experienced management.

Consistent profitability and positive cash flows.

Growing demand for products.

Adequate growth rate (10–15% expected for public firms).

Limitations of Going Public

High initial costs (legal, underwriting, documentation).

Reporting and regulatory obligations.

Loss of some ownership control.

Research and Development (R&D)

R&D involves activities focused on developing new products and improving existing products for effective strategy implementation.

Key R&D Activities

Transferring advanced technology.

Adjusting processes to local resources.

Adapting products to customer needs.

Modifying products for different markets.

Importance of R&D in Strategy Implementation

Supports product development, market penetration, and diversification.

Helps improve competitiveness and innovation.

Reduces product life cycles due to rapid technological change.

R&D Policy Decisions

Organizations must decide:

Level of R&D spending (high, medium, low).

Internal vs external R&D.

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Use of universities or private research firms.

Focus on product or process improvement.

Basic research vs applied research.

Leader or follower in innovation.

R&D and Strategy Link

Effective R&D must align internal strengths with external market opportunities.

It helps support long-term strategic goals and innovation.

R&D in Different Strategy Situations

Cosmetic Industry → Add new skincare products (diversification).

Plastic Industry → Develop biodegradable products (market penetration).

Electronics → Develop telecom systems in foreign markets (market development).

Pharmaceutical → Develop drug testing methods (product development).

Choosing Internal or External R&D

Internal R&D is preferred when:

Technology changes slowly.

Market growth is moderate.

Barriers to entry are high.

External R&D is preferred when:

Technology changes rapidly and market grows slowly.

Time is limited for development.

Acquisition of R&D is preferred when:

Both technology and market growth are fast.

R&D Strategic Approaches

1. First-to-Market Strategy

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Be the first to introduce new technology.

High risk but high reward.

2. Innovative Imitator Strategy

Improve and modify successful products introduced by others.

Lower risk and cost.

3. Low-Cost Producer Strategy

Produce cheaper versions of existing products.

Compete through cost advantage.

Trends in R&D

Companies are increasingly collaborating with competitors.

Reasons include:

High R&D costs.

Fast technological changes.

Regulatory pressures.

Need for faster product development.

Important Exam Points

R&D focuses on **developing and improving products for strategy implementation.**

Going public helps raise capital but increases **costs and reporting obligations.**

R&D policies must align **internal strengths with market opportunities.**

Three R&D strategies are **first-to-market, innovative imitator, and low-cost producer.**

Internal vs external R&D depends on **technology speed and market growth.**

Collaboration in R&D is increasing due to **cost and competition pressures.**

Lesson 39 – Research and Development (R&D) Issues (5 Very Important MCQs)

MGT603 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

1. The main purpose of R&D in strategy implementation is to:

- A) Reduce employee turnover
 - B) Control financial budgets
 - C) Develop and improve products for effective strategy implementation ✓**
 - D) Increase advertising costs
-

2. Going public means:

- A) Closing the business
 - B) Selling a portion of ownership to raise capital ✓**
 - C) Merging with competitors
 - D) Reducing production capacity
-

3. Which situation is best for internal (in-house) R&D?

- A) Rapid technological change and fast market growth
 - B) Rapid technology change and slow market growth
 - C) Slow technological progress and moderate market growth with high entry barriers ✓**
 - D) No competition in the market
-

4. The “innovative imitator” R&D strategy refers to:

- A) Being the first to launch new products
 - B) Improving and modifying successful existing products introduced by others ✓**
 - C) Avoiding innovation completely
 - D) Producing only outdated products
-

5. Which of the following is NOT an R&D policy decision?

- A) Level of R&D spending
 - B) Internal vs external R&D
 - C) Focus on product or process improvement
 - D) Setting employee salaries and wages ✓**
-

Lesson 40 – Strategy Review, Evaluation and Control (Summarized Notes)

Strategy Review, Evaluation and Control

Strategy review, evaluation and control is the final stage of the strategic management process. It ensures that strategies are implemented properly and organizational goals are achieved.

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Evaluation

Evaluation is the systematic determination of merit, worth, and significance of something. It is used to assess strategies and organizational performance.

Importance of Strategy Evaluation

Helps management identify problems in time.
Ensures strategies remain effective in changing environments.

Need for Strategy Evaluation

Strategies become obsolete over time.
Internal environment keeps changing.
External environment keeps changing.

Basic Activities of Strategy Evaluation

Examining the foundation of strategy.
Comparing expected results with actual results.
Taking corrective actions when needed.

Strategy Evaluation as Performance

Measured through profitability, sales, productivity, ROI, profit margins, and EPS.

Criteria for Effective Strategy (Rummelt Model)

Consistency means no conflicting goals or policies.
Consonance means strategy fits environmental changes.
Feasibility means strategy is realistic and achievable.
Advantage means strategy provides competitive benefit.

Consistency

No conflict in objectives and policies.
Lack of consistency creates confusion and conflict.

Michael Porter's Five Forces Model

Bargaining power of customers
Bargaining power of suppliers
Threat of new entrants
Threat of substitutes
Competitive rivalry

Bargaining Power of Customers

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High when buyers are concentrated.
High purchase volume and low switching cost increase power.

Bargaining Power of Suppliers

High when suppliers are few.
High switching cost and unique inputs increase power.

Threat of New Entrants

High when barriers are low.
Low capital requirement increases entry.

Threat of Substitutes

High when better price-performance alternatives exist.
Low switching cost increases threat.

Competitive Rivalry

High when many competitors exist.
Low growth and high fixed costs increase rivalry.

Additional Stakeholder Force

Includes government, creditors, communities, and shareholders.
They also influence industry competition.

Purpose of Strategy Evaluation

Helps detect problems early.
Ensures survival and success of organization.

Key Activities in Strategy Control

Review strategy base.
Compare actual vs expected results.
Take corrective actions.

Four Criteria of Strategy

Consistency, Consonance, Feasibility, Advantage.

Importance of Evaluation

Organizations are most vulnerable at peak success.
Continuous evaluation ensures long-term stability.

MGT603 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Important Exam Points

Strategy evaluation is the final stage of strategic management.
It helps in identifying problems and improving performance.
Strategies become obsolete due to internal and external changes.
Evaluation compares expected results with actual results.
Rummelt model includes four criteria: Consistency, Consonance, Feasibility, Advantage.
Porter's Five Forces determine industry competitiveness.
High customer power reduces profitability.
High supplier power increases costs.
High rivalry reduces industry attractiveness.
Strategy control ensures corrective actions for better performance.

Lesson 40 – Strategy Review, Evaluation and Control (5 Very Important MCQs)

1. The main purpose of strategy evaluation is to:

- A) Increase production capacity
- B) Ensure strategies achieve organizational objectives and detect problems in time ✓
- C) Reduce marketing expenses
- D) Eliminate competitors

2. Which model is used to evaluate strategies based on Consistency, Consonance, Feasibility, and Advantage?

- A) BCG Matrix
- B) Rummelt Model ✓
- C) Ansoff Matrix
- D) SWOT Analysis

3. Michael Porter's Five Forces Model is used to analyze:

- A) Internal employee performance
- B) Industry attractiveness and competitive environment ✓
- C) Financial reporting systems
- D) Organizational budgeting only

4. High bargaining power of suppliers usually results in:

- A) Lower production cost for firms
- B) Increased control over prices by firms
- C) Higher input costs for firms due to supplier strength ✓
- D) No effect on industry competition

MGT603 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

5. Which of the following is NOT a basic activity of strategy evaluation?

- A) Examining the foundation of strategy
- B) Comparing expected and actual results
- C) Taking corrective actions
- D) Increasing product prices randomly without analysis ✓

Lesson 41 – Porter Supply Chain (Value Chain) Model (Summarized Notes)

Porter Supply Chain (Value Chain) Model

Porter's Value Chain Model is a framework that helps to analyze activities through which a firm creates value and competitive advantage. It explains how internal activities contribute to cost efficiency and differentiation.

Value Chain Activities

The value chain is divided into primary activities and support activities.

Primary Activities (Line Functions)

Inbound Logistics includes receiving, storing, inventory control, and transportation planning.

Operations include machining, assembly, packaging, testing, and production activities that convert inputs into final products.

Outbound Logistics includes warehousing, distribution, transportation, and delivery of finished products to customers.

Marketing and Sales include advertising, promotion, pricing, selling, and channel selection to attract customers.

Service includes customer support, repair, installation, training, and maintenance to enhance product value.

Support Activities (Staff Functions)

Procurement involves purchasing raw materials, machines, equipment, and services.

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Technology Development includes R&D, process automation, and product or process design improvements.

Human Resource Management includes recruitment, training, development, and compensation of employees.

Firm Infrastructure includes management, finance, accounting, legal, planning, and quality control functions.

Creating Cost Advantage through Value Chain

A firm can achieve cost advantage by reducing costs of individual value chain activities.

It can also achieve cost advantage by reconfiguring or redesigning the value chain.

Support activities and primary activities both contribute to cost reduction opportunities.

Information Technology plays an important role in reducing overall costs and improving efficiency.

Cost Drivers in Value Chain

Economies of scale affect cost efficiency through large-scale production.

Learning improves efficiency over time through experience.

Capacity utilization impacts cost based on how effectively resources are used.

Linkages among activities improve coordination and reduce waste.

Interrelationships among business units reduce duplication of activities.

Vertical integration affects cost through control of supply chain stages.

Timing of market entry influences cost advantage and competitiveness.

Cost or differentiation policy affects overall strategic direction.

Geographic location influences transportation and labor costs.

Institutional factors include regulations, taxes, and labor laws affecting cost.

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Reconfiguration of Value Chain

Reconfiguration means making structural changes in activities to improve efficiency.

It includes changes in production processes, distribution channels, or sales methods.

Reconfiguration helps firms achieve cost advantage and better performance.

Supply Chain and Value Chain Connection

Value chain of a firm is connected with other firms' value chains.

This interconnected system is called supply chain management.

Efficient management of the entire chain improves competitive advantage.

Value networks describe how different firms are connected in creating value.

Important Exam Points

Value Chain Model is used to analyze value-creating activities.

Primary activities directly create product value for customers.

Support activities help primary activities function efficiently.

Cost advantage can be achieved by reducing costs or reconfiguring activities.

Ten cost drivers influence value chain efficiency.

Supply chain management connects multiple value chains.

Lesson 41 – Porter Supply Chain (Value Chain) Model (5 Very Important MCQs)

1. The main purpose of Porter's Value Chain Model is to:

- A) Increase government regulations
 - B) Analyze activities that create value and competitive advantage ✓
 - C) Reduce employee salaries
 - D) Eliminate marketing activities
-

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2. Which of the following is a PRIMARY activity in the Value Chain?

- A) Human Resource Management
 - B) Procurement
 - C) Operations ✓
 - D) Firm Infrastructure
-

3. Outbound Logistics mainly includes:

- A) Raw material purchasing
 - B) Product design
 - C) Delivering finished products to customers ✓
 - D) Employee training
-

4. A firm can achieve cost advantage in the value chain by:

- A) Increasing advertising cost only
 - B) Reducing or reconfiguring value chain activities ✓
 - C) Hiring more employees
 - D) Increasing product price
-

5. Which of the following is NOT a cost driver in Porter's Value Chain Model?

- A) Economies of scale
 - B) Geographic location
 - C) Institutional factors
 - D) Customer satisfaction index ✓
-

Lesson 42 – Strategy Evaluation (Summarized Notes)

Strategy Evaluation

Strategy evaluation is the process of assessing whether strategies are working effectively and achieving organizational objectives. It ensures continuous improvement and corrective actions in strategy implementation.

Four Criteria (Richard Rummelt Model)

Richard Rummelt provides four key criteria for strategy evaluation: consistency, consonance, feasibility, and advantage.

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Consistency

Consistency means strategies should not contain conflicting goals and policies.

Conflicts and interdepartmental disagreements indicate poor strategic consistency and managerial disorder.

Consonance

Consonance refers to the need for strategies to match environmental trends and changes.

It ensures that strategies are adaptive responses to external environmental conditions.

Trends are interconnected and influence each other.

Feasibility

Feasibility means the strategy should not overburden organizational resources.

The organization must have sufficient skills, abilities, and competencies to implement the strategy successfully.

Advantage

Advantage refers to the creation or maintenance of competitive advantage.

It depends on superior resources, strong capabilities, and better strategic positioning.

Difficulties in Strategy Evaluation

Strategy evaluation is difficult due to increasing environmental complexity.

Future prediction is uncertain and less accurate.

The number of influencing variables continues to increase.

Rapid obsolescence of plans reduces effectiveness.

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Domestic and global environmental changes affect decisions.

Planning time span for certainty is decreasing.

Process of Strategy Evaluation

Strategy evaluation is necessary for all types and sizes of organizations.

It encourages managers to question assumptions and expectations.

It helps in reviewing objectives, values, and evaluation criteria.

Continuous Strategy Evaluation

Continuous evaluation helps establish benchmarks for performance.

It allows better monitoring of progress toward organizational goals.

It ensures timely corrective actions when needed.

Organizational Awareness in Evaluation

Managers and employees should continuously monitor progress toward objectives.

As critical success factors change, employees must participate in corrective actions.

This improves coordination, responsibility, and strategic alignment.

Important Exam Points

Rummelt model includes four criteria: Consistency, Consonance, Feasibility, and Advantage.

Consistency avoids conflicts in goals and policies.

Consonance ensures alignment with environmental trends.

Feasibility ensures resource capability.

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Advantage ensures competitive strength.

Strategy evaluation is continuous, not one-time.

It helps in identifying problems and improving strategic decisions.

Perfect — now I'm using **exact same pattern, same style, same formatting** as your Lesson 41 MCQs.

Lesson 42 – Strategy Evaluation (5 Very Important MCQs)

1. The four criteria of strategy evaluation (Rummelt model) are:

- A) Product, Price, Place, Promotion
- B) Consistency, Consonance, Feasibility, Advantage ✓
- C) Planning, Organizing, Staffing, Controlling
- D) Sales, Marketing, Finance, HR

2. Consistency in strategy evaluation means:

- A) Strategy should maximize customer satisfaction
- B) Strategy should not present conflicting goals and policies ✓
- C) Strategy should focus only on profit
- D) Strategy should ignore competitors

3. Consonance in strategy evaluation refers to:

- A) Internal coordination between departments
- B) Strategy's fit with external environmental trends and changes ✓
- C) Employee performance evaluation
- D) Budget allocation process

4. Feasibility in strategy evaluation means:

- A) Strategy should increase market share
- B) Strategy should be achievable with available resources and capabilities ✓
- C) Strategy should reduce competition
- D) Strategy should increase product price

5. A major difficulty in strategy evaluation is:

- A) Stable business environment

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- B) Increasing environmental complexity and difficulty in predicting future ✓
- C) Excess profit in organization
- D) High employee satisfaction

Lesson 43 – Reviewing Bases of Strategy (Summarized Notes)

Reviewing the Underlying Bases of Strategy

Reviewing the bases of strategy means analyzing whether the organization's internal strengths, weaknesses, opportunities, and threats are still valid and effective for current strategy implementation.

Use of Revised EFE and IFE Matrices

A revised IFE Matrix focuses on changes in internal areas like management, marketing, finance, production, R&D, and information systems strengths and weaknesses. A revised EFE Matrix focuses on how well strategies are responding to external opportunities and threats.

Key External and Internal Questions for Review

How have competitors reacted to our strategies?
How have competitors' strategies changed?
Have competitors' strengths and weaknesses changed?
Why are competitors changing strategies?
Why are some competitors more successful than others?
How satisfied are competitors with their current position?
How far can competitors be pushed before they retaliate?
How can cooperation with competitors be improved?

Factors Affecting Strategy Achievement

External factors include competition, demand changes, technology changes, economic shifts, demographic changes, and government actions.

Internal factors include poor strategy selection, weak implementation, and unrealistic objectives.

Continuous Monitoring of SWOT Factors

Internal strengths and weaknesses and external opportunities and threats must be continuously reviewed because they change over time. The key issue is not whether they will change but when and how they will change.

Key Questions for Strategy Review

Are internal strengths still strengths?
Have new strengths developed?

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Are weaknesses still weaknesses?
Do new weaknesses exist?
Are external opportunities still valid?
Are new opportunities available?
Are external threats still present?
Are new threats emerging?
Are we vulnerable to hostile takeover?

Measuring Organizational Performance

Performance measurement involves comparing expected results with actual results, identifying deviations, evaluating performance, and tracking progress toward objectives.

It includes both short-term and long-term objectives.

Importance of Predictive Evaluation

Effective strategy evaluation focuses not only on past results but also on predicting future performance trends so corrective actions can be taken early.

Causes of Poor Performance

Poor performance may result from ineffective strategies or inefficient execution. It may also result from external factors like economic changes, suppliers, or distribution problems.

Quantitative and Qualitative Evaluation Criteria

Quantitative criteria include financial ratios and measurable indicators. Qualitative criteria include human factors, management judgment, and organizational behavior.

Key Financial Ratios for Evaluation

Return on investment, return on equity, profit margin, market share, debt to equity, earnings per share, sales growth, and asset growth.

Limitations of Quantitative Criteria

They focus more on short-term results, may vary due to accounting methods, and often include subjective assumptions.

Qualitative Evaluation Questions

Is the strategy internally consistent?
Is it consistent with the external environment?
Is it feasible with available resources?

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Does it involve acceptable risk?
Is the time frame appropriate?
Is the strategy workable?

Additional Qualitative Considerations

Balance between high-risk and low-risk projects must be maintained.
Balance between long-term and short-term projects is important.
Balance between fast-growing and slow-growing markets is necessary.
Social responsibility and competitor reactions must also be considered.

Taking Corrective Actions

Corrective actions involve adjusting strategies, structures, leadership, resources, or policies to improve performance and realign the organization with its goals.

Importance of Corrective Actions

No organization remains stable forever. Changes are necessary to stay competitive and aligned with objectives.

Organizational Change and Resistance

Change increases employee anxiety and resistance. Resistance is often emotional and includes fear of loss, insecurity, and lack of understanding.

Overcoming Resistance to Change

Resistance can be reduced through participation, communication, and involvement of employees in decision-making.

Outcomes of Strategy Evaluation

Strategy evaluation may lead to no change, minor adjustments, or major strategic changes in formulation and implementation.

Importance of Continuous Evaluation

Continuous evaluation helps organizations stay competitive, adapt to change, and improve decision-making.

Important Exam Points

Strategy review focuses on analyzing internal and external strategic bases.
EFE and IFE matrices help reassess internal and external factors.
SWOT factors must be continuously monitored.
Performance is measured using both financial and non-financial criteria.

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Quantitative tools include financial ratios like ROI, EPS, and market share.
Qualitative evaluation includes managerial judgment and environmental fit.
Corrective actions are necessary to maintain strategic alignment.
Resistance to change is natural but can be reduced through participation.

Lesson 43 – Reviewing Bases of Strategy (5 Very Important MCQs)

1. The purpose of reviewing the bases of strategy is to:

- A) Increase employee salaries
 - B) Evaluate whether internal and external factors supporting strategy are still valid ✓
 - C) Reduce production cost only
 - D) Eliminate competitors
-

2. Revised IFE and EFE matrices are used to:

- A) Control advertising expenses
 - B) Analyze internal strengths/weaknesses and external opportunities/threats again ✓
 - C) Increase market price
 - D) Manage employee attendance
-

3. Which of the following is an external factor affecting strategy success?

- A) Management style
 - B) Employee skills
 - C) Technological and economic changes in the environment ✓
 - D) Company structure
-

4. Measuring organizational performance includes:

- A) Comparing expected results with actual results ✓
 - B) Only increasing production
 - C) Hiring new employees
 - D) Reducing competition
-

5. A major reason for unsatisfactory organizational performance is:

- A) High customer satisfaction
 - B) Ineffective strategies or poor implementation ✓
 - C) High market demand
 - D) Strong financial position
-

Lesson 44 – Measuring Organizational Performance (Summarized Notes)

MGT603 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Measuring Organizational Performance

Measuring organizational performance involves evaluating how well an organization is achieving its objectives by using both quantitative and qualitative criteria. The selection of performance criteria depends on the organization's size, industry, strategy, and management philosophy.

Importance of Performance Measurement

It helps determine which objectives are most important for strategy evaluation and ensures that organizational performance is properly assessed in relation to goals and competition.

Quantitative Criteria for Performance Evaluation

Quantitative criteria mainly include financial ratios that help compare performance over time, against competitors, and against industry averages.

Key Financial Ratios

Return on investment
Return on equity
Profit margin
Market share
Debt to equity
Earnings per share
Sales growth
Asset growth

Limitations of Quantitative Criteria

Quantitative measures are mostly focused on short-term results rather than long-term goals.

Different accounting methods can produce different results.

Many quantitative measures involve subjective or intuitive judgment.

Importance of Qualitative Criteria

Qualitative criteria are used because many important factors affecting performance cannot be measured numerically. These include human behavior, management quality, and organizational effectiveness.

Factors Affecting Poor Performance

High absenteeism and turnover
Poor production quality and quantity

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Low employee satisfaction

Weak performance in marketing, finance, R&D, or information systems

Qualitative Evaluation Questions (Seymour Tilles Model)

Is the strategy internally consistent?

Is the strategy consistent with the external environment?

Is the strategy suitable based on available resources?

Does the strategy involve acceptable risk?

Is the strategy time frame appropriate?

Is the strategy workable?

Additional Strategic Evaluation Questions

How balanced are investments between high-risk and low-risk projects?

How balanced are investments between long-term and short-term projects?

How balanced are investments between fast-growing and slow-growing markets?

How balanced are investments among divisions?

Are strategies socially responsible?

How are internal and external factors connected in strategy formulation?

How will competitors likely respond to strategies?

Importance of Intuitive Judgment

Strategic evaluation requires managerial judgment because not all factors can be measured numerically. Intuition helps in understanding risks, competition, and long-term impacts.

Important Exam Points

Performance measurement uses both quantitative and qualitative criteria.

Financial ratios are used for comparing performance over time, competitors, and industry standards.

Key ratios include ROI, ROE, EPS, market share, and sales growth.

Quantitative methods have limitations due to short-term focus and accounting differences.

Qualitative evaluation includes managerial judgment and behavioral factors.

Seymour Tilles provided six key qualitative questions for strategy evaluation.

Balanced investment decisions and competitor analysis are important in strategic evaluation.

Lesson 44 – Measuring Organizational Performance (5 Very Important MCQs)

1. Measuring organizational performance mainly involves:

A) Increasing employee salaries

B) Evaluating how well an organization achieves its objectives using quantitative and qualitative criteria ✓

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- C) Only increasing production output
 - D) Reducing marketing activities
-

2. Which of the following is a quantitative criterion for performance evaluation?

- A) Employee satisfaction
 - B) Market share ✓
 - C) Organizational culture
 - D) Leadership style
-

3. Financial ratios are mainly used to:

- A) Train employees
 - B) Compare performance over time, competitors, and industry averages ✓
 - C) Increase advertising budget
 - D) Reduce product cost only
-

4. Which of the following is a limitation of quantitative performance measures?

- A) They are always accurate for long-term decisions
 - B) They are only useful for employee evaluation
 - C) They focus more on short-term results and may vary due to accounting methods ✓
 - D) They eliminate the need for management judgment
-

5. According to Seymour Tilles, which is a qualitative evaluation question?

- A) What is the company's profit margin?
 - B) Is the strategy internally consistent? ✓
 - C) What is the ROI?
 - D) What is the EPS?
-

Lesson 45 – Strategy Evaluation and Control System (Summarized Notes)

Strategy Evaluation and Control System

Strategy evaluation and control system is used to ensure that organizational strategies are being implemented effectively and are achieving desired results. It helps managers monitor performance and take corrective actions when needed.

Purpose of Strategy Evaluation System

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The main purpose is to ensure that strategies are working properly and organizational goals are being achieved. It helps identify problems early and improves decision-making in a changing environment.

Importance of Evaluation System

A good evaluation system helps organizations stay on track, improve performance, and respond to internal and external changes. It ensures that strategies remain relevant and effective over time.

Components of Strategy Evaluation System

A strategy evaluation system includes setting standards, measuring performance, comparing actual results with expected results, and taking corrective actions when required.

Setting Performance Standards

Performance standards are used as benchmarks for measuring success. These standards must be clear, realistic, and aligned with organizational objectives.

Measuring Actual Performance

Actual performance is measured using financial and non-financial indicators such as sales, profit, productivity, market share, and customer satisfaction.

Comparing Results

After measuring performance, results are compared with set standards to identify deviations. This comparison helps determine whether strategies are effective or need adjustment.

Taking Corrective Action

If performance does not match expectations, corrective actions are taken. These may include revising strategies, changing objectives, reallocating resources, or improving implementation methods.

Characteristics of Effective Control System

An effective control system should be accurate, timely, flexible, economical, and understandable. It should provide useful information for decision-making.

Feedback in Control System

Feedback is an essential part of the control system. It provides information about performance and helps managers adjust strategies accordingly.

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Types of Control

There are three types of control systems: feedforward control, concurrent control, and feedback control. Each type helps monitor and manage performance at different stages.

Feedforward Control

Feedforward control focuses on preventing problems before they occur by identifying potential issues in advance.

Concurrent Control

Concurrent control takes place during the implementation process and ensures that activities are performed according to plan.

Feedback Control

Feedback control evaluates results after implementation and helps in improving future performance.

Role of Managers in Evaluation

Managers play a key role in monitoring performance, analyzing results, and ensuring that corrective actions are implemented effectively.

Challenges in Strategy Evaluation

Challenges include resistance to change, inaccurate data, complex environments, and difficulty in measuring qualitative factors.

Importance of Continuous Evaluation

Continuous evaluation helps organizations adapt to changes quickly and maintain long-term success in a competitive environment.

Important Exam Points

Strategy evaluation and control ensures that strategies are achieving organizational goals.

It includes measuring performance, comparing results, and taking corrective actions. Effective control systems must be timely, accurate, and flexible.

Feedforward, concurrent, and feedback controls are three main types.

Continuous evaluation improves decision-making and organizational performance.

Lesson 45 – Strategy Evaluation and Control System (5 Very Important MCQs)

MGT603 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

1. The main purpose of a strategy evaluation and control system is to:

- A) Increase employee salaries
 - B) Ensure strategies are implemented effectively and goals are achieved ✓
 - C) Reduce production capacity
 - D) Eliminate competition
-

2. The correct sequence in a control system is:

- A) Take action → Measure → Set standards → Compare
 - B) Set standards → Measure performance → Compare results → Take corrective action ✓
 - C) Compare results → Set standards → Measure → Ignore deviations
 - D) Measure → Ignore → Set standards → Act
-

3. Which of the following is NOT a type of control system?

- A) Feedforward control
 - B) Concurrent control
 - C) Feedback control
 - D) Random control system ✓
-

4. Concurrent control is performed:

- A) Before implementation starts
 - B) After completing the strategy
 - C) During the implementation process ✓
 - D) Only at the end of the year
-

CC

5. An effective control system should be:

- A) Expensive and complex
 - B) Slow and rigid
 - C) Accurate, timely, and flexible ✓
 - D) Based only on intuition
-

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